COURSE

IB Diploma Programme Business management SL

Promotion

Unit 4: Marketing · 4.5 The seven Ps of the marketing mix: promotion

Revision for Unit 4: Marketing: each firm works it out on its own deals.

Class **IB Business Management SL** Topic **Promotion**

THE LESSON

Setup	3 min

Round 1 — Decisions 3 min · Deals 5 min · Topic tasks 4 min

Firm decisions	**Deals**	TASK 1 **Ad return as %**	TASK 2 **Judge the campaign**

Round 2 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min

Firm decisions	**Deals**	TASK 3 **Return on spend**	TASK 4 **Enquiries to profit**	**B2B deal**

Round 3 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min

Firm decisions	**Deals**	TASK 5 **Answer a price cut**	TASK 6 **Best advert return**	**B2B deal**

Final questions	3 min

Fits a 30-minute lesson setting; longer settings add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments FROM ROUND 2	Buy property or funds. The value can rise or fall.
Operations	**Seasonal stock**	Order the season's cars in advance.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

Was the advert worth it?

Profit from the advert, as % of its cost?

WORK OUT THE NUMBER · EXAMPLE FIGURES

The advert costs	**£3,500**
Extra sales from it	**7 cars**
Margin per car	**£1,225**

METHOD

Return % = (extra sales × margin − advert cost) ÷ advert cost × 100

(7 × £1,225 − £3,500) ÷ £3,500 = 145%

Why: Every £1 spent on the advert brought back £2.45.

Task 2

ROUND 1

You must judge an online advert campaign.

Which two measures show its value best?

PICK TWO

- ✔ **Cost per sale**
- ○ How many people saw it
- ○ Number of clicks
- ○ Number of likes
- ✔ **Profit from the sales it brought**

Why: Value is in sales and profit; clicks and views do not pay the bills.

Task 3

ROUND 2

Three campaigns: what each cost, and the contribution it brought.

Order by return on spend, highest first?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **£500 spent, brings £1,000**
2. **£1,000 spent, brings £1,600**
3. **£2,500 spent, brings £3,500**

Why: Return: 100%, 60%, 40%. The biggest profit in pounds has the lowest return.

Task 4

ROUND 2

Enquiries from an advert.

Profit from the advert?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

The advert costs	**£3,475**
Enquiries it brings	**30 plain**
Conversion rate	**20%**
Margin per car	**£1,830**

METHOD

Profit = enquiries × conversion rate × margin – advert cost

20% × 30 = 6; 6 × £1,830 − £3,475 = £7,505

Why: A 20% conversion turns 30 enquiries into 6 sales.

Task 5

ROUND 3

Your firm is known for the best service in town. A rival cuts its prices by 10%.

How should you respond, and why?

PICK A OR B AND GIVE A REASON

- ○ Match the 10% price cut
- ✔ **Promote your service, keep prices**

Why: A price war cuts every margin; promoting what makes you different keeps loyal buyers.

Task 6

ROUND 3

Which pays back more?

Higher of the two: profit as % of cost?

WORK OUT THE NUMBER · EXAMPLE FIGURES

Radio advert, 70 enquiries	**£4,500**
Social advert, 40 enquiries	**£4,500**
Conversion rate	**10%**
Margin per car	**£2,025**

METHOD

Each advert: (cars sold × margin − cost) ÷ cost × 100; take the higher

Radio 215%, social 80%

Why: Compare return on spend, not just profit.

Final questions

6
questions for each pupil

109
Level 3 Business questions

1
of them on promotion

The game draws 6 of the 109 Level 3 questions; these 1 are about promotion.

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1 Customers choose a dealer over a cheaper rival because of its well-known name, logo and long reputation, not any one feature. What is this?

Its brand.